

Northgate Talent Partners LLC

www.northgatetalent.com

June 25, 2018

Jason Vasquez

General Manager

Davis and Sons

Re: Retained Search, Head of Operations

Dear Jason,

Thank you for asking us to find your next Head of Operations. This letter sets out what we will do, who will do it, and what it costs, and once you sign it below it is the agreement between Davis and Sons and Northgate Talent Partners LLC. I have kept it short. If anything in it does not match what we agreed on the phone, tell me before you sign it rather than after.

Scope of the Search

The assignment is a retained search for a Head of Operations at Davis and Sons, reporting to you. We will not approach the market until you and I have agreed a written position specification. That document will state the mandate, the first-year priorities, the compensation range you are prepared to pay, and the two or three things that would rule out an otherwise strong candidate. Drafting it takes about two weeks of back and forth and it is worth every day of it. Most searches that go wrong go wrong here, because the client and the consultant were describing different jobs to each other and neither of them noticed until a finalist turned up in the room.

The search is exclusive to the firm for its term. You are engaging us, not a listing service, and the retainer buys a systematic canvass of the market rather than whoever happens to be looking this month. We will approach people who are employed and content, which is most of the people worth having, and that is slow work by design. Expect a considered slate of finalists rather than a stream of resumes. If you have internal candidates or people you have already met, tell us now and we will assess them alongside the market at no additional fee. It is far cheaper to include them at the start than to discover them late.

Approach

Our method is unremarkable and we run it the same way every time:

- Position specification, agreed with you and signed off before any outreach begins.

- Market mapping: a written universe of the companies and functions where this person is likely to sit today.
- Approach and screening: confidential conversations conducted by our consultants, not by a researcher reading from a script.
- Slate presentation: written candidate summaries and our own assessment, delivered in person.
- Client interviews, referencing, and support through offer, acceptance, and resignation.

Two points on that list matter more than the rest. First, we describe candidates to you by their current role and responsibilities, and their names do not go into anything that circulates until they have told us they may. Discretion is the whole business. A candidate exposed to their employer because of us is a candidate we will never place again, and word travels faster in this market than any of us would like. Second, we present a slate rather than a single name, and we present it in person, so that you can argue with us while we are in the room to answer.

Your Team

I will lead the engagement, and you will see me at the specification meeting and at the slate presentation. James Grant will run it day to day and he is the person you should call. Jim has been with the firm since the start and knows this market better than I do; he also has the useful habit of telephoning rather than writing, so do not be surprised to get a call about something I would have put in a note. Nicole Donovan will do the research and build the market map. She is the reason our candidate descriptions are accurate about scope and title, which sounds like a small thing until you have watched a search fall apart because someone's job had been described a level higher than it actually sat.

Fee and Commencement

The fee for this assignment is \$100,500, fixed for the term of the search regardless of the compensation the successful candidate ultimately negotiates. We do not work on contingency and we do not take a percentage of the hire's package, because that arrangement puts our interest and yours on opposite sides of the table at the exact moment you are trying to close. The engagement commences on July 5, 2018, and we plan on roughly five months from commencement to a signed acceptance, assuming your interview slots are available when we need them. That last condition is not boilerplate. A slow client calendar is the most common reason a good candidate goes somewhere else.

Fees and Payment

The fee is invoiced in three installments: at commencement, on presentation of the slate, and on acceptance of an offer. Invoices are payable within thirty days of receipt. Reasonable out-of-

pocket expenses, meaning travel to interviews and candidate travel where you ask us to arrange it, are billed at cost against receipts. We will tell you before we incur anything out of the ordinary.

Term and Termination

The engagement runs from commencement until the position is filled or until either of us ends it. Either party may terminate on written notice. If you terminate, you owe the installments already invoiced and nothing beyond them. If we terminate, which we would do only if the assignment turns out to be one we cannot honestly complete, we will refund any installment covering work not performed. For the term of this engagement and for one year after it ends, we will not recruit from your company.

Confidentiality

What you tell us about the business, the role, and the reason it is open stays inside the engagement team. The same protection runs the other way: what a candidate tells us in confidence is theirs, and we will not repeat it to you unless they permit it. Neither party will use the other's name in marketing without written consent, which means Davis and Sons does not appear on our client list unless you tell us it may.

Limitation of Liability

We will conduct the search with the care and skill you are entitled to expect from us. We do not guarantee an outcome and we cannot warrant the future performance of a person you choose to hire; that decision is yours and the risk in it stays with you. Our aggregate liability arising out of this engagement is limited to the fees actually paid to us under it, and neither party is liable to the other for indirect or consequential loss.

Governing Law

This letter and any dispute arising out of it are governed by the laws of the state in which our principal office is located, without regard to its conflict of laws provisions. It is the entire agreement between us on this assignment and it supersedes anything either of us said before it.

If this reflects our understanding, please sign both copies and return one to me; the second is yours to keep. Jim will call to schedule the specification meeting as soon as the signed copy is back, and I would rather he did not have to wait on it. If you want anything in here changed, call me directly and we will change it or explain why we cannot.

Sincerely,

Kelly Chavez

Northgate Talent Partners LLC

Managing Director
Date: June 25, 2018

Jason Vasquez

General Manager, Davis and Sons
Date: June 25, 2018